



BANKING & FINANCE (145)

STATE– 2019

Multiple Choice:

Multiple Choice (30 @ 2 points each) _____ (60 points)

Production Problems:

Financial Word Problems (10 @ 2 points each) _____ (20 points)

Problem 1: Rule of 72 (5 @ 2 points each) _____ (10 points)

Problem 2: Compound Interest (12 @ 2 points each) _____ (24 points)

TOTAL POINTS _____ (***114 points***)

Graders: Please double check and verify all scores and answer keys!

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BANKING AND FINANCE - STATE 2019
ANSWER KEY
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1		B
2		B
3		C
4		C
5		B
6		B
7		C
8		B
9		C
10		A
11		C
12		C
13		D
14		B
15		B
16		C
17		A
18		D
19		B
20		C
21		C
22		D
23		B
24		C
25		B
26		C
27		A
28		C
29		B
30		D



PRODUCTION PROBLEMS:

Financial Word Problems (10 @ 2 = 10 points)

1. a. \$38,400
b. \$14,400
c. \$52,800
2. a. \$453.32
3. a. \$ 2,624 (or \$2088) please accept either (depends on trade in reduction)
b. \$31,248
c. \$24,548
4. a. \$ 8,800
b. \$ 2,520
c. \$11,320

Problem 1: Rule of 72 (5 @ 2 = 10 points)

INVESTMENT	RATE OF RETURN	YEARS TO DOUBLE
CD	3%	24
US Treasury Note	2.66%	27.1
Common Stock	10%	7.2
Money Market	1.70%	42.4
Preferred Stock	6%	12

Problem 2: Compound Interest Annually (12 @ 2 = 24 points)

YEAR	Beginning Balance	Interest	Ending Balance
YEAR 1	\$8000.00	\$160.00	\$8160.00
YEAR 2	\$8160.00	\$163.20	\$8323.20
YEAR 3	\$8323.20	\$166.46	\$8489.66
YEAR 4	\$8489.66	\$169.79	\$8659.45